

INSURANCE AND PENSIONS COMMISSION

REPORT ON

ipec

SHORT TERM INSURERS AND REINSURERS

FOR THE YEAR ENDED 31 DECEMBER 2011

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1. List of Acronyms and Abbreviations

GPW	–	Gross Premium Written
NPW	–	Net Premium Written
IBNR	–	Incurred But Not Reported
ROE	–	Return on Equity
NEP	–	Net Earned Premium
O/S	–	Outstanding
UPR	–	Unearned Premium Reserve
IPEC/Commission	–	Insurance and Pensions Commission

NOTE: Unless stated otherwise, all monetary figures are in United States Dollars

2. Executive Summary

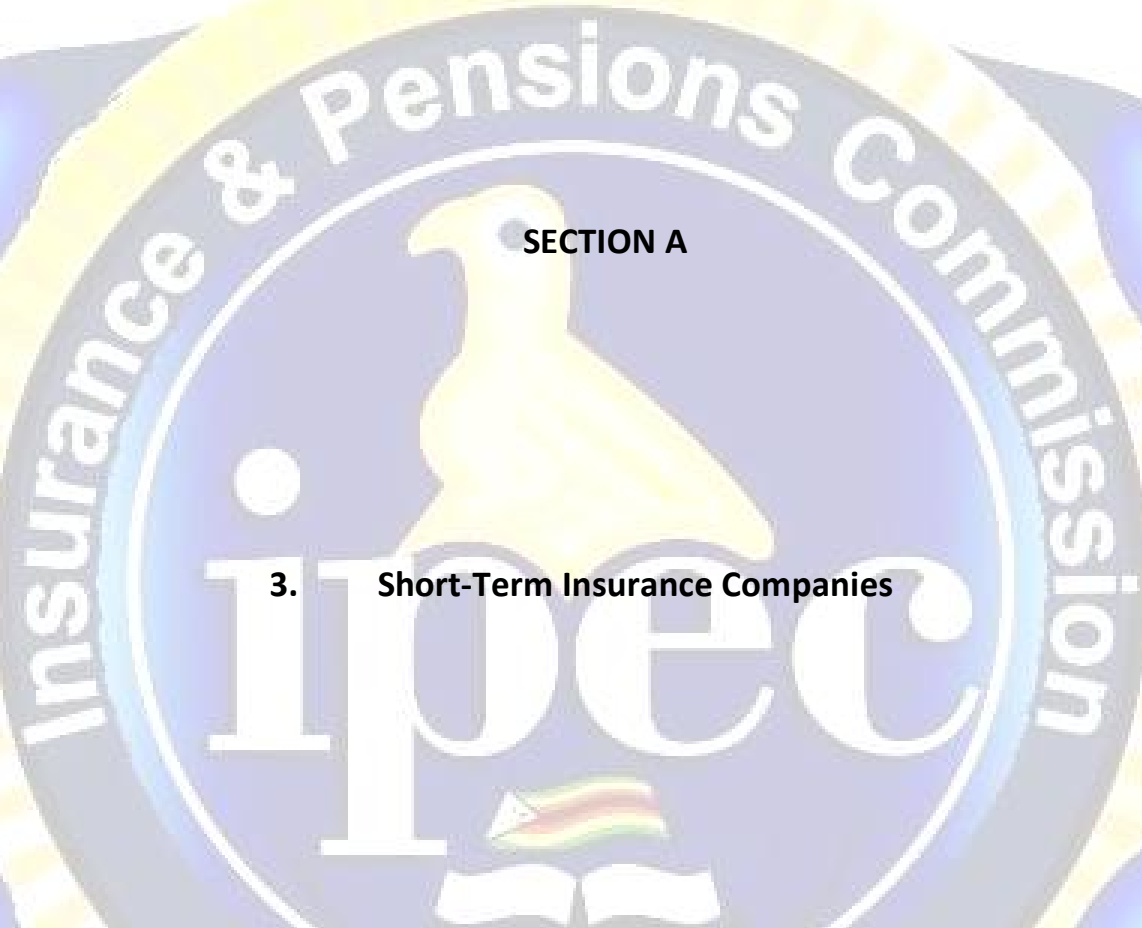
The short term insurance industry had 26 direct short term insurers and 8 reinsurers registered during the quarter ended 31 December 2011. Total gross premium written by direct short term insurers increased from \$117.31 million for the year ended 31 December 2010 to \$158.97 million for the year ended 31 December 2011. On the other hand the total gross premium written by short term reinsurers amounted to \$67.89 million for the year ended 31 December 2011, up from \$50.09 million reported in the comparative period in 2010. The main drivers of short-term insurance business continued to be motor and fire insurance.

The growth in business translated into improved profitability with direct short term insurers reporting a retained profit of \$6.2 million for the year under review, compared to \$1.90 million reported for the year ended 31 December 2010. Reinsurers also reported an increase in total retained profit from negative \$1.69 million for the year ended 31 December 2010 to \$11.99 million for the period under review. The sector recorded positive underwriting results for the period under review as reflected by underwriting profits of \$3.54 million and \$6.28 million for the direct short term insurers and reinsurers respectively.

Of all the direct short term insurers and reinsurers only two direct insurers reported capital levels which were not compliant with the regulatory minimum requirement of \$300,000 as stipulated in Statutory Instrument 183 of 2009 as at 31 December 2011. The same insurers reported solvency ratios which were below the regulatory minimum of 25%.

The short term insurance sector witnessed an increase in its asset base with total assets for short term insurers and reinsurers increasing from \$104.73 million and \$92.75 million as at 30 September 2011, to \$110.13 million and \$93.06 million as at 31 December 2011 respectively.

There was on average a decrease in risk appetite among direct short term insurers and reinsurers as denoted by the decrease in the average risk retention ratios from 55% and 68.37% for the year ended 31 December 2010 to 48.15% and 63.66% for the year under review respectively.



SECTION A

3. Short-Term Insurance Companies

3.1. Update on Number of Operational Institutions

The number of operating direct short term insurers was 26, reflecting no change in the number reported as at 30 September 2011. Export Credit Guarantee Corporation and Agricultural Insurance Company remained closed to new business. The Commission is finalizing the operational modalities of Lloyd's following its re-admittance into the Zimbabwean market.

3.2. Business Written

Total gross premium written increased by 35.51% from \$117.31 million for the year ended 31 December 2010 to \$158.97 million for the year ended 31 December 2011. The growth in gross premium written was buoyed by increases in gross premium generated from motor and fire insurance which amounted to \$33.41 million and \$15.08 million respectively. The growth in motor insurance business may be mainly attributable to the general improvement in the macroeconomic environment which has led to increased vehicles on Zimbabwe's roads. However, although there are no statistics on the proportion of total number of vehicles insured, the general perception by the insurers is that there is potentially untapped business in respect of vehicles not insured. The Commission implores the insurers through the Insurance Council of Zimbabwe (ICZ) to work with the powers that be to ensure that all vehicles are insured.

The largest percentage increases in business written were recorded in health (2,081.07%) and hire purchase (233.76%) insurance as shown in table 2 below. The growth in health insurance business was mainly due to a deliberate shift in strategic focus by Suremed Insurance Company towards the health insurance niche which is traditionally exploited by medical aid schemes. The introduction of the multicurrency regime and the subsequent stabilization of the economy has resulted in the reintroduction and gradual increase in use of hire purchase and hence the increase in gross premium attributable to hire purchase. Aviation insurance business recorded the lowest growth owing to low level of activity by local operators in the aviation industry.

Table 1: Performance Indicators (\$000)

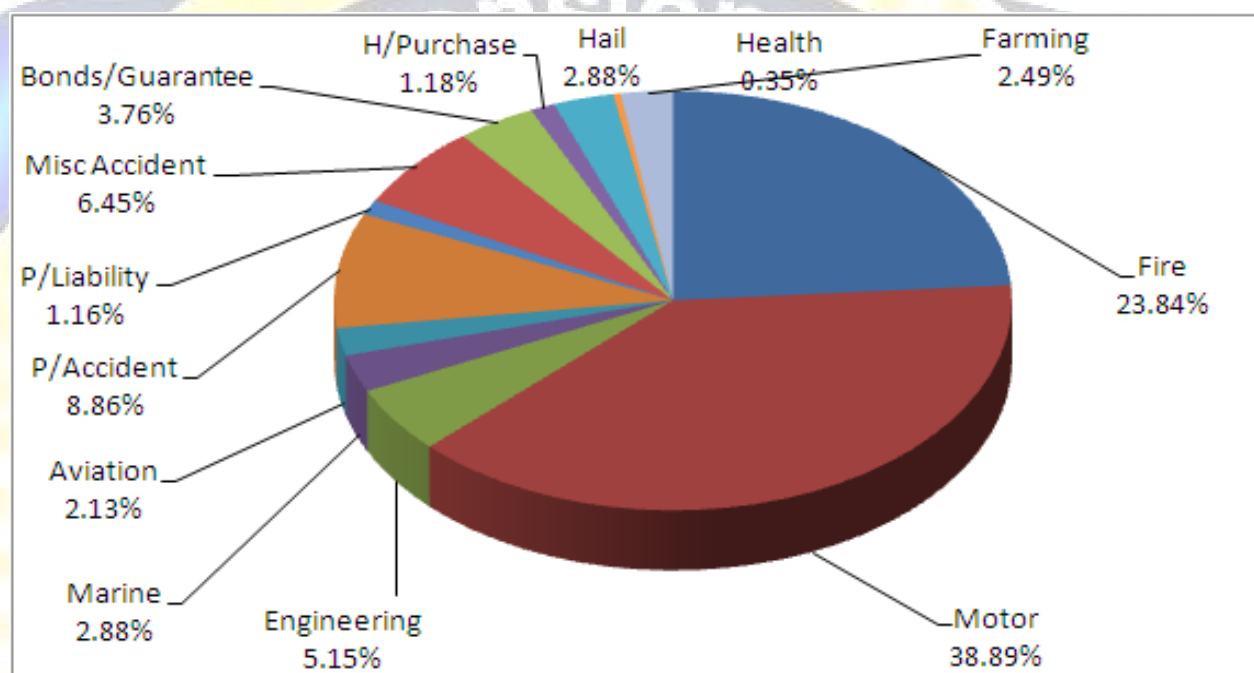
Performance Indicator	Year ended 31.12.11	Year Ended 31.12.10	% Change
Gross Premium Written	158,969	117,314	35.51%
Net Premium Written	82,429	64,076	28.64%
Net Earned Premium	80,749	56,963	41.76%
Net Claims Incurred	37,389	21,734	72.03%
Net Commission Incurred	7,342	5,026	46.07%
Management Expenses	36,347	30,013	21.10%
Underwriting Profit	3,545	-5,363.35	166.10%
Investment Income	2,487	1,826	36.20%
Profit Before Tax	7,937	-2,206	459.81%

Table 2: Gross Premium Written by Class of Business (\$000)

Contribution by Class	Year ended 31.12.11	Year Ended 31.12.10	% Change
Fire	37,902	22,826	66.05%
Motor	61,821	28,413	117.58%
Engineering	8,182	3,855	112.22%
Marine	4,572	2,528	80.87%
Aviation	3,385	2,817	20.18%
P/Accident	14,083	6,294	123.74%
P/Liability	1,843	644	186.31%
Misc Accident	10,247	6,432	59.32%
Bonds/Guarantee	5,975	3,323	79.79%
H/Purchase	1,873	561	233.76%
Hail	4,579	3,200	43.12%
Health	554	25	2,081.07%
Farming	3,952	2,202	79.51%
Total	158,969	83,121	91.25%

Motor and fire insurance remained the dominant sources of business accounting for 38.89% and 23.84% of total gross premium written for the year under review as shown in Figure 1 below. Notwithstanding the relatively low value claims from the motor insurance business, the skewness of the gross premium towards the same class of business may have adverse impacts given the high frequency of losses in the motor insurance business. Figure 1 below shows the breakdown of business into the different insurance classes.

Figure 1: Distribution of Business by Gross Premium Written



3.3. Earnings

The direct short term insurers reported retained earnings of \$6.2 million for the year under review, reflecting a 226.92% increase from \$1.90 million reported for the year ended 31 December 2010. The increase in profitability was on the back of continued increase in business volumes underwritten. Although, the direct short term insurers' sector reported profits, eight direct short term insurers recorded losses during the period under review.

The average combined ratio improved from 99.7% reported for the year ended 31 December 2010 to 91.6% for the year under review reflecting an improvement in cost management as well as improvement in commission income and claims relative to the level of business. Direct short term insurers reported an improvement in the average return on assets (ROA) and return on

equity ratios from 2.17% and 5.19% for the year ended 31 December 2010 to 5.63% and 16.08% respectively for the year under review.

Underwriting profits increased significantly from negative \$5.36 million for the year ended 31 December 2010 to \$3.55 million for the year under review on the back of an increase in business volumes. Notwithstanding the marginal deterioration of the average loss ratio from 38.2% reported for the year ended 31 December 2010 to 38.7% for the year under review, the same ratio was well below the international benchmark of 60%. Out of the 26 direct short term insurers a total of eight direct short term insurers reported underwriting losses.

3.4. Capitalization

The number of direct short term insurers with capital that was below the regulatory minimum of \$300,000 stipulated in Statutory Instrument 183 of 2009 remained two as shown in Table 3 below. Engagements with institutions which are inadequately capitalized are still ongoing.

A total of 12 direct short term insurers did not heed the Commission's call in the third quarter report to provide for net claims incurred but not reported (IBNR) as well as net outstanding claims as stipulated in section 25(2) of the Insurance Act [Chapter 24:07]. This may have resulted in the understatement of liabilities which may in turn lead to overstatement of the said insurers' capital positions. Going forward, the Commission in terms of section 30 (6) of the Act, using a formula to be predetermined, will calculate IBNR and amend the financial report where an insurer will not have provided for the same.

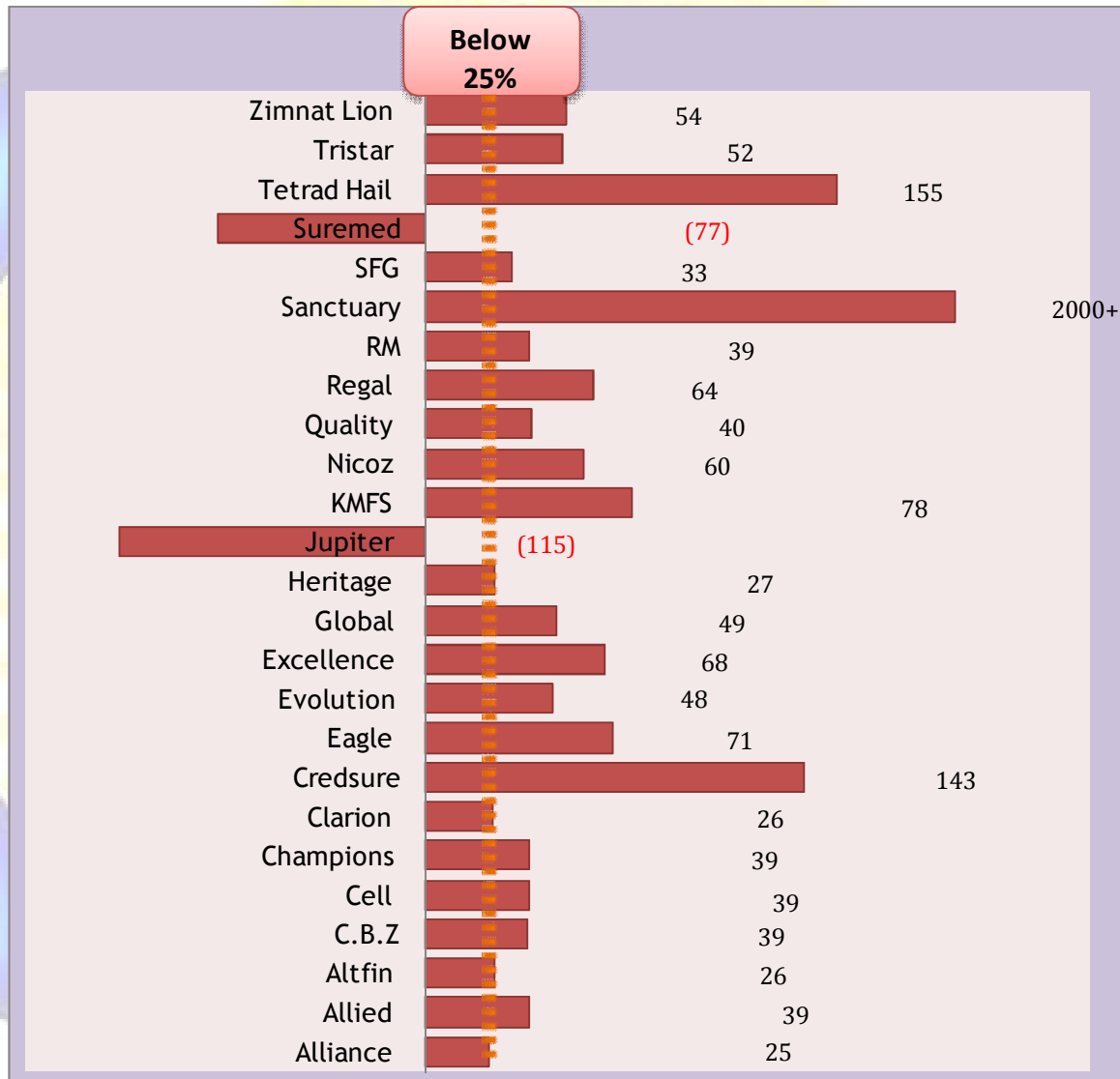
The Commission is in the process of reviewing minimum capital requirements for the various players in the insurance industry.

Table 3: Level of Capitalisation (\$ 000)

Company	Declared Capital Position as at 31 December 2011
Alliance	2,903
Allied	433
Altfin	1,522
C.B.Z	936
Cell	2,292
Champions	980
Clarion	481
Credsure	2,339
Eagle	2,209
Evolution	741
Excellence	334
Global	418
Hamilton	1,653
Heritage	989
Jupiter	(1,316)
KMFS	1,084
Nicoz	8,042
Quality	590
Regal	860
RM	4,129
Sanctuary	839
SFG	539
Suremed	(121)
Tetrad Hail	1,682
Tristar	1,604
Zimnat	2,394

Of all the direct short term insurers, only Suremed Insurance Company and Jupiter Insurance Company reported solvency ratios which fell below the prudential minimum requirement of 25% as at 31 December 2011. The average solvency ratio decreased from 64% as at 30 September 2011, to 47% as at 31 December 2012. Figure 2 below shows the solvency ratios for each direct short term insurer as at 31 December 2011.

Figure 2: Solvency Ratios



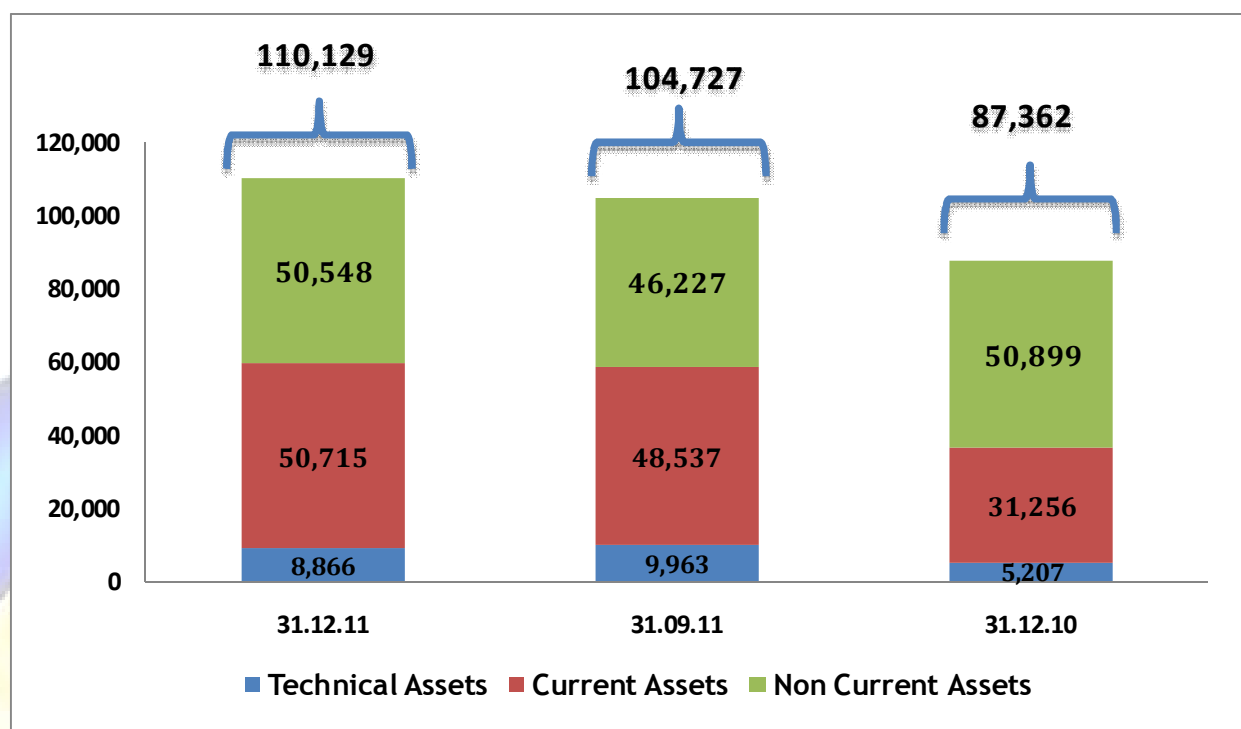
3.5. Asset Quality

The direct short term insurers reported total assets of \$110.13 million as at 31 December 2011, reflecting a 5.16% increase from \$104.73 million reported as at 30 September 2011. The increase in total assets was mainly attributable to the growth in non-current assets from \$46.23 million as at 30 September 2011 to \$50.55 million as at 31 December 2011.

The asset base as at 31 December 2011 was marginally skewed towards current assets which contributed 46.05% of total assets whilst non-current assets and technical assets contributed 45.90% and 8.05% respectively. Although the skewness of the asset base towards current assets is in line with the short term nature of the non-life insurance business, it is worrying to note that 84.6% of the current assets which amounted to \$42.91 million was tied in premium receivables and other debtors. This constrains the insurers' ability to fully make use of their current assets in their day to day operations.

The significant level of premium receivables (\$31.99 million) is attributable to liquidity constraints in the market which has resulted in policyholders negotiating payment plans in respect of premiums. Figure 3 below shows the breakdown of total assets as at 30 September 2011 and 31 December 2011.

Figure 3: Assets Composition of Short-Term Insurers ('000)



3.6. Market Share for Short-Term Insurers

The direct short term insurers' sector reported a Herfindahl Index¹ of 0.08 and 0.09 in terms of gross premium written and net premium written respectively reflecting that the direct short term insurance market was not concentrated during the period under review. This implies that the direct short term insurance market had enhanced competition wherein no one short term insurer could dictate terms in the market.

The top three direct short term insurers for the year under review in terms of gross premium written and net premium written were Nicoz Diamond Insurance Company, Alliance Insurance Company and RM Insurance Company. The market shares for Nicoz Diamond Insurance Company, Alliance Insurance Company and RM Insurance Company were 13.36%, 12.56%, 10.33% in terms of gross premium written and 16.27%, 14.37%, 12.73% in terms of net premium written respectively.

¹ The Herfindahl Index is the sum of squared market shares of firms in an industry. An index below 0.1 indicates an unconcentrated industry, an index of 0.1 to 0.18 indicates moderate concentration and an index above 0.18 indicates high concentration.

The Herfindahl Index in terms of total assets was 0.07 further confirming that the market for direct short term insurers is not concentrated. Nicoz Diamond Insurance Company, Alliance Insurance Company and RM Insurance Company were also the market leaders in terms of total assets with a combined market share of 35.02%. Figure 4 and 5 below show the market shares for the period under review.

Figure 4: Market share using GPW and NPW

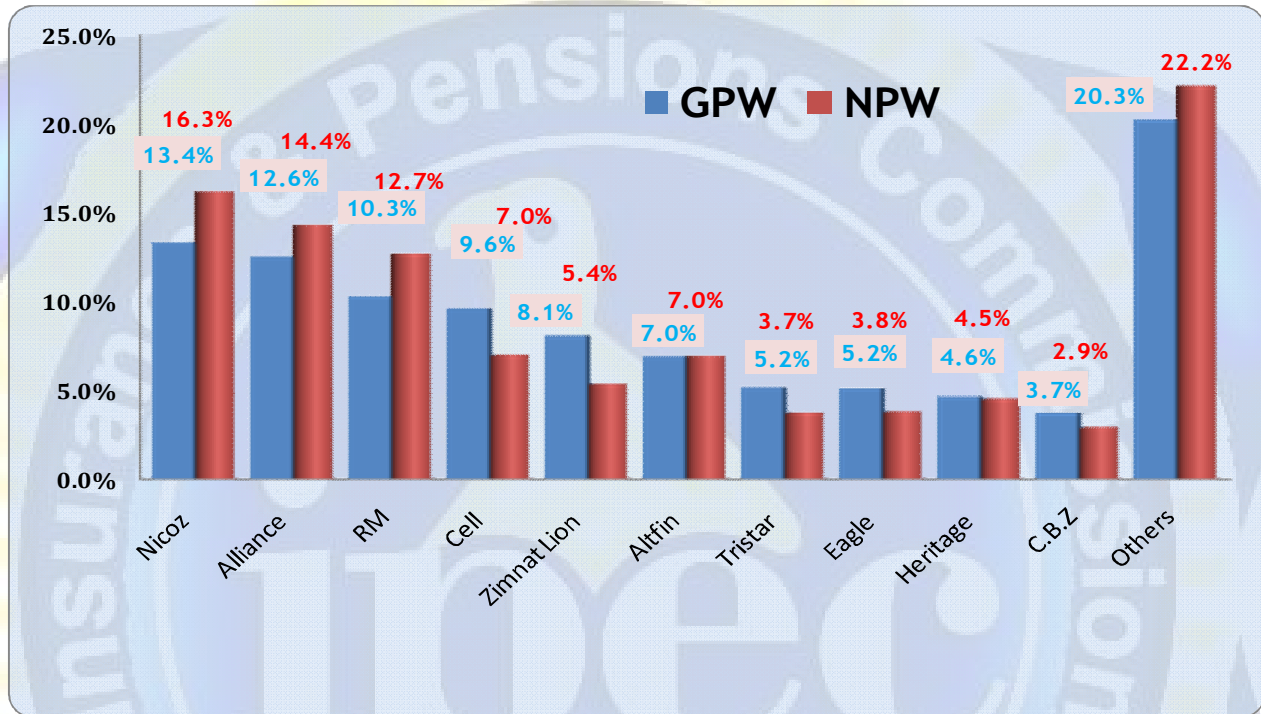
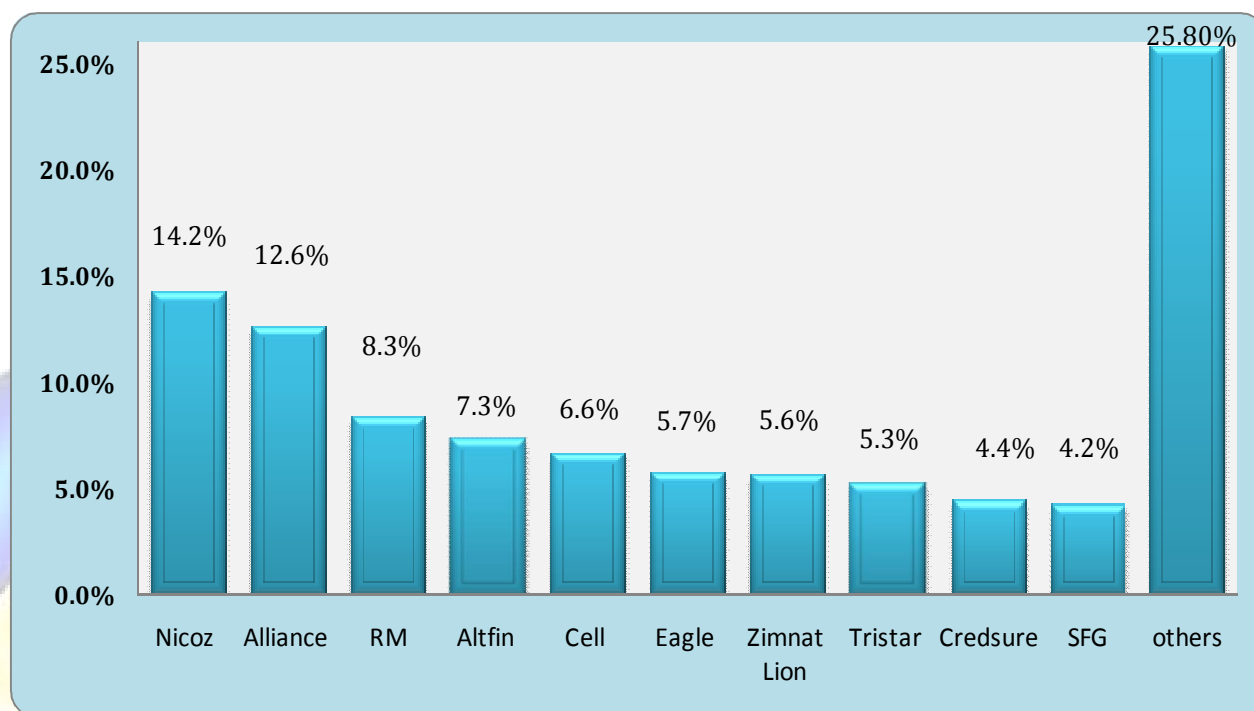


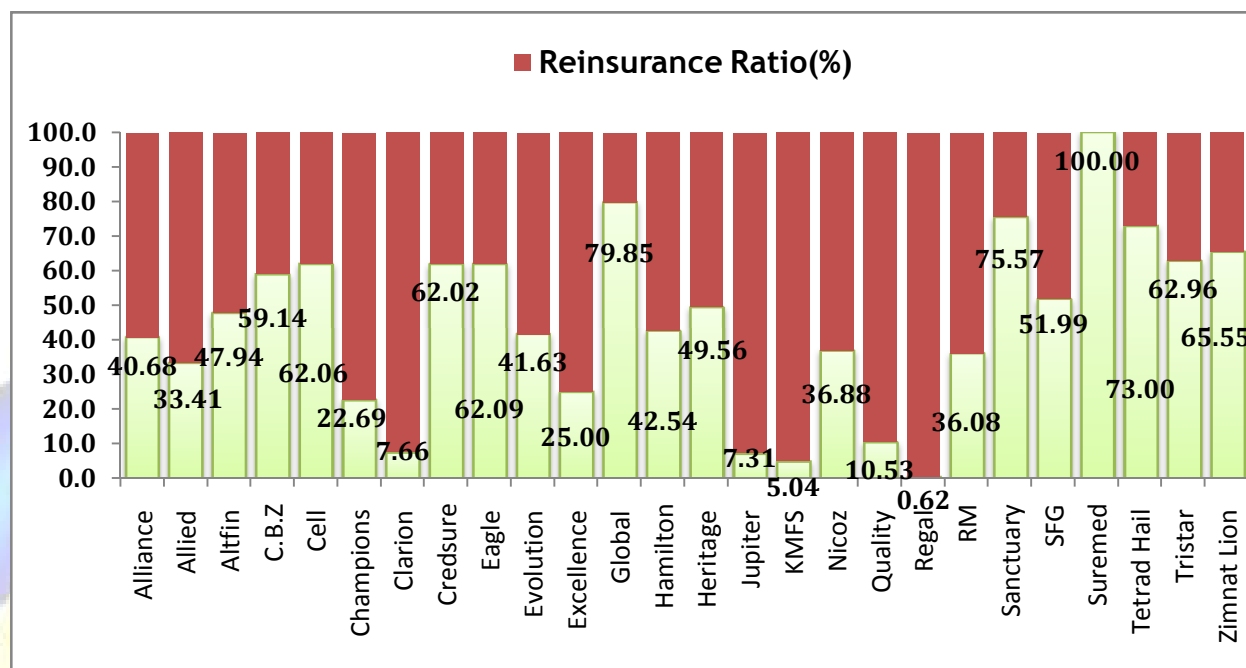
Figure 5: Market Share In Terms of Asset Base



3.7. Reinsurance

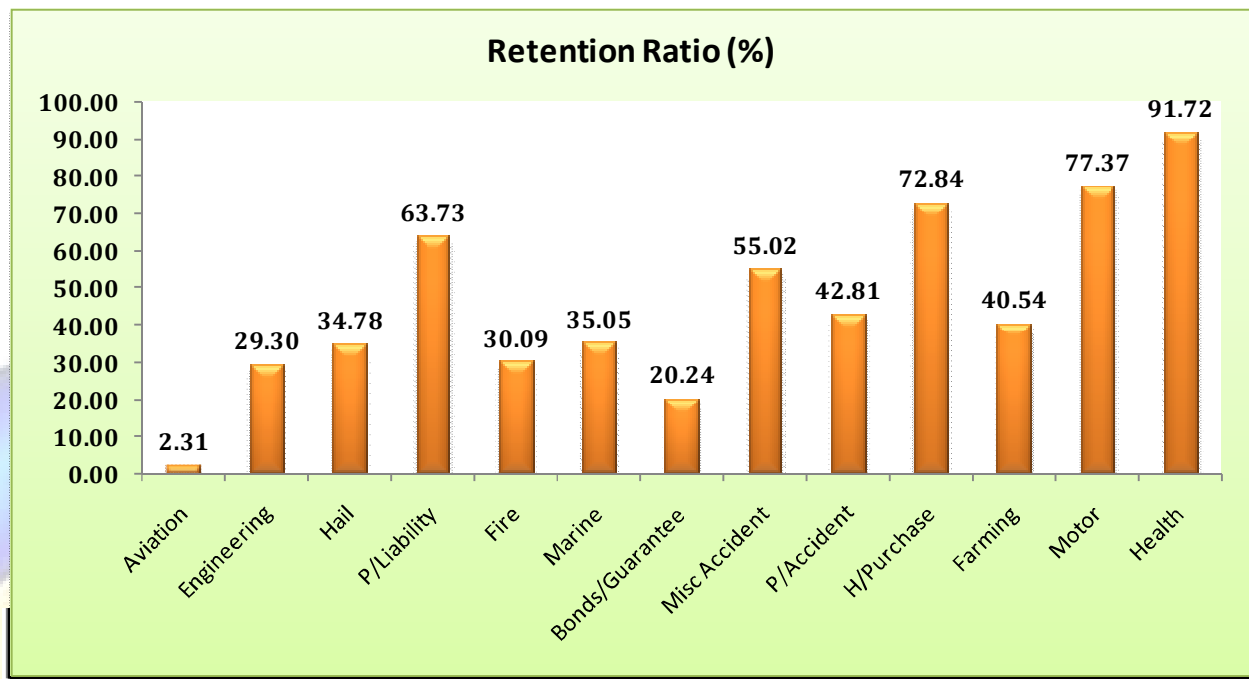
The average retention ratio decreased from 55% for the year ended 31 December 2010 to 48.15% for the year ended 31 December 2011 reflecting an increased use of reinsurance which helps to spread risk. Hamilton Insurance Company and Suremed Insurance Company retained all the premiums they collected and should these insurers continue not making use of reinsurance, they may fail to meet claims due to inadequate risk spreading. The diagram below shows the retention/reinsurance ratios for all the direct short term insurers for the period under review.

Figure 6: Reinsurance/Retention for Short Term Companies



The highest risk retention ratios were reported in health and motor insurance business as shown in the diagram below. High retention ratios in the motor insurance business may not augur well for the direct insurers given the generally high frequency of claims in the same class of business. The lowest risk retention level was reported in respect of aviation insurance and this may be attributable to limited expertise in aviation insurance coupled with relatively high values of sum insured.

Figure 7: Retention by Class



SECTION B

4. Reinsurance Companies

4.1. Update on Number of Operational Institutions

There were 8 operational short term reinsurers in the fourth quarter, the same number reported in the third quarter.

4.2. Business Written

Total gross premium increased from \$50.09 million for the year ended 31 December 2010 to \$67.89 million for the year ended 31 December 2011 reflecting an increase in the volume of business written. The increase in business volumes was mainly driven by increases in motor and fire insurance business volumes from \$7.44 million and \$18.67 million for the year ended 31 December 2010, to \$12.75 million and \$22.63 million for the year under review respectively.

Personal accident and hail insurance recorded the largest percentage changes in gross premium written of 1,419.8% and 238,5% respectively. The business volume generated from marine insurance business recorded the lowest percentage growth of negative 14.2% and this may be attributable to low level of activity in the marine business.

Table 4 and 5 below show the change in key performance indicators over the year.

Table 4: Key Performance Indicators (\$ 000)

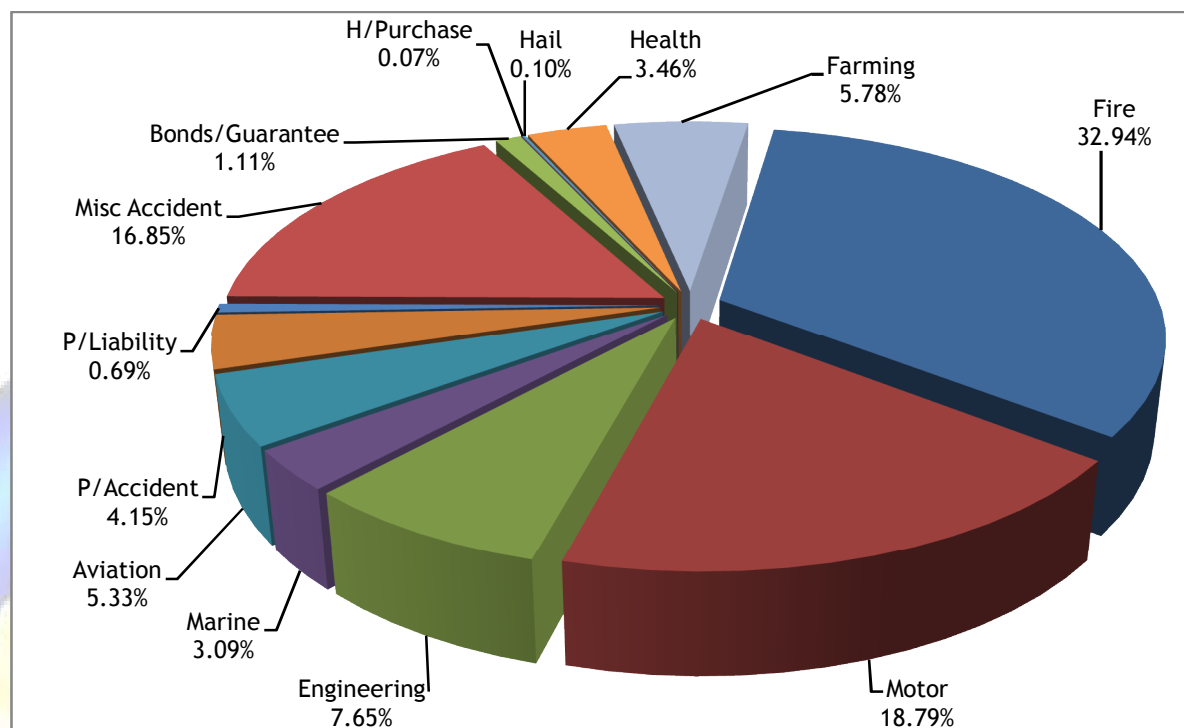
Performance Indicator	Year ended 31.12.11	Year ended 31.12.10	% Change
Gross Premium Written	67,891	50,094	35.53%
Net Premium Written	46,418	31,888	45.57%
Net Earned Premium	43,385	30,484	42.32%
Net Claims Incurred	13,813	11,870	16.37%
Net Commission Incurred	10,659	8,251	29.19%
Management Expenses	13,011	14,071	7.53%
Underwriting Profit	6278	(3,522)	278.26%
Investment Income	961	700	37.28%
Profit Before Tax	8,288	(3,999)	307.24%

Table 5: Gross Written Premiums by Class of Business (\$ 000)

Class	Year ended 31.12.11	Year ended 31.12.10	% Change
Fire	22,363	18,671	19.8%
Motor	12,754	7,437	71.5%
Engineering	5,193	3,296	57.6%
Marine	2,100	2,449	-14.2%
Aviation	3,615	2,458	47.1%
P/Accident	2,817	185	1,419.8%
P/Liability	468	345	35.6%
Misc Accident	11,437	11,153	2.6%
Bonds/Guarantee	756	743	1.8%
H/Purchase	44	72	-38.7%
Hail	69	20	238.5%
Health	2,348	1,535	53.0%
Farming	3,926	1,730	127.0%
Total	67,891	50,094	35.5%

The distribution of business by gross premium written continued to be skewed towards fire and motor insurance which contributed 32.94% and 18.79% of total gross premium written for the year ended 31 December 2011 respectively. Notwithstanding the distribution of business being skewed towards fire and motor insurance, concentration risk is considered moderate. Figure 8 below shows the distribution of the total gross premium written for the year under review.

Figure 8: Distribution of Business



4.3. Earnings

The short term reinsurers reported total retained income of \$11.99 million for the year ended 31 December 2011, reflecting an increase by 809.07% from a loss of \$1.69 million reported for the year ended 31 December 2010. The increase in profitability was largely attributable to an increase in gross premium which outstripped the increase in claims coupled with a decrease in expenses.

The reinsurers reported an average combined ratio of 98.6% for the year under review reflecting an improvement from 112.2% reported for the year ended 31 December 2010. The decrease in the combined ratio shows an improvement in cost management as well as improvement in commission income and claims relative to the level of business. The short term reinsurers reported average return on assets (ROA) and return on equity (ROE) of 12.88% and 21.05% for the period under review compared to negative 2.12% and negative 3.25% respectively reported in the comparative period in 2010 further reflecting the improved profitability.

Underwriting profits increased significantly from negative \$3.52 million for the year ended 31 December 2010 to \$6.28 million for the year under review buoyed by an increase in business volumes. The improvement in the underwriting profit is reflected in the improvement in loss ratio

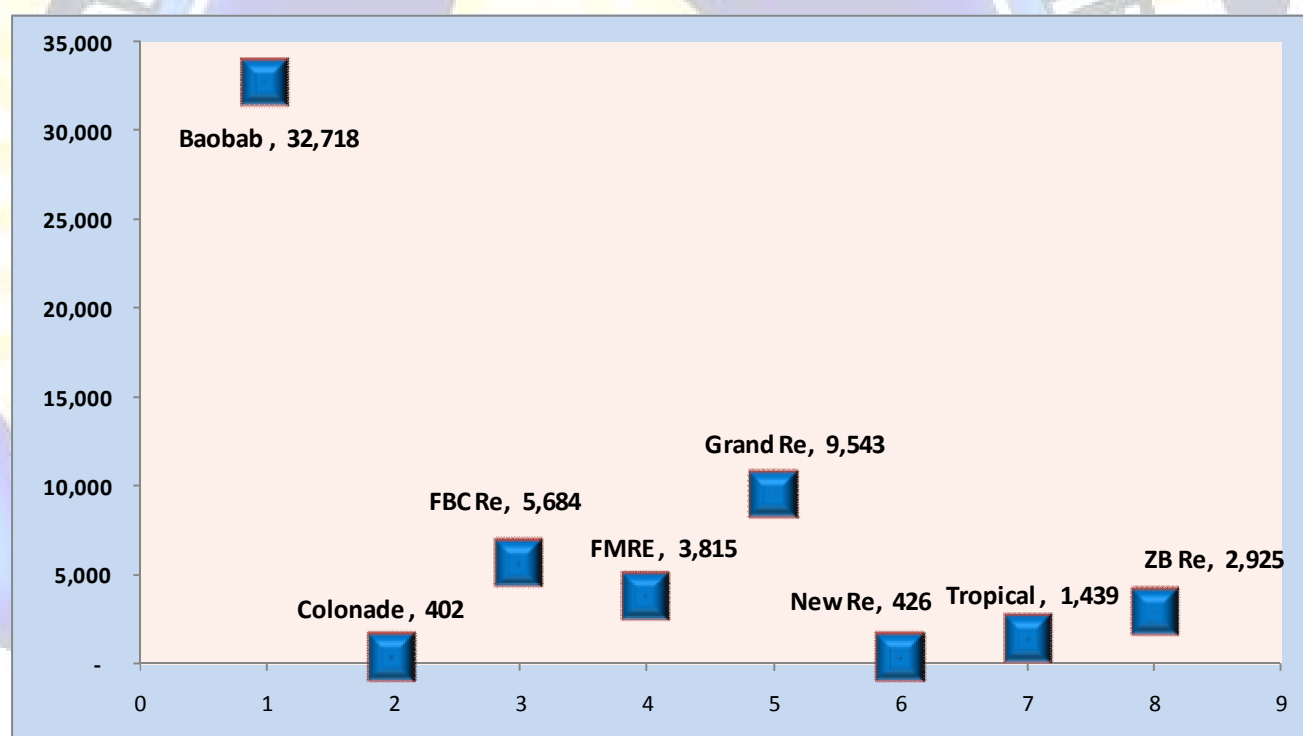
from 23.70% for the year ended 31 December 2010, to 20.35% for the year under review. Although on aggregate basis the short term reinsurance sector reported profits, two reinsurers reported losses (see appendix for more details).

4.4. Capitalization

All short term reinsurers reported capital levels which were in compliance with the regulatory minimum requirement of \$400,000. However, New Re and Colonnade Reinsurance reported relatively low capital levels which may constrain the two reinsurers' scope to write more business. In addition, the two reinsurers should consider increasing their capital levels in view of the imminent upward review of minimum capital levels by the Commission.

The average equity to assets ratio increased from 59.49% as at 30 September 2011 to 61.20% as at 31 December 2011 reflecting a decline in the level of leverage for the reinsurers.

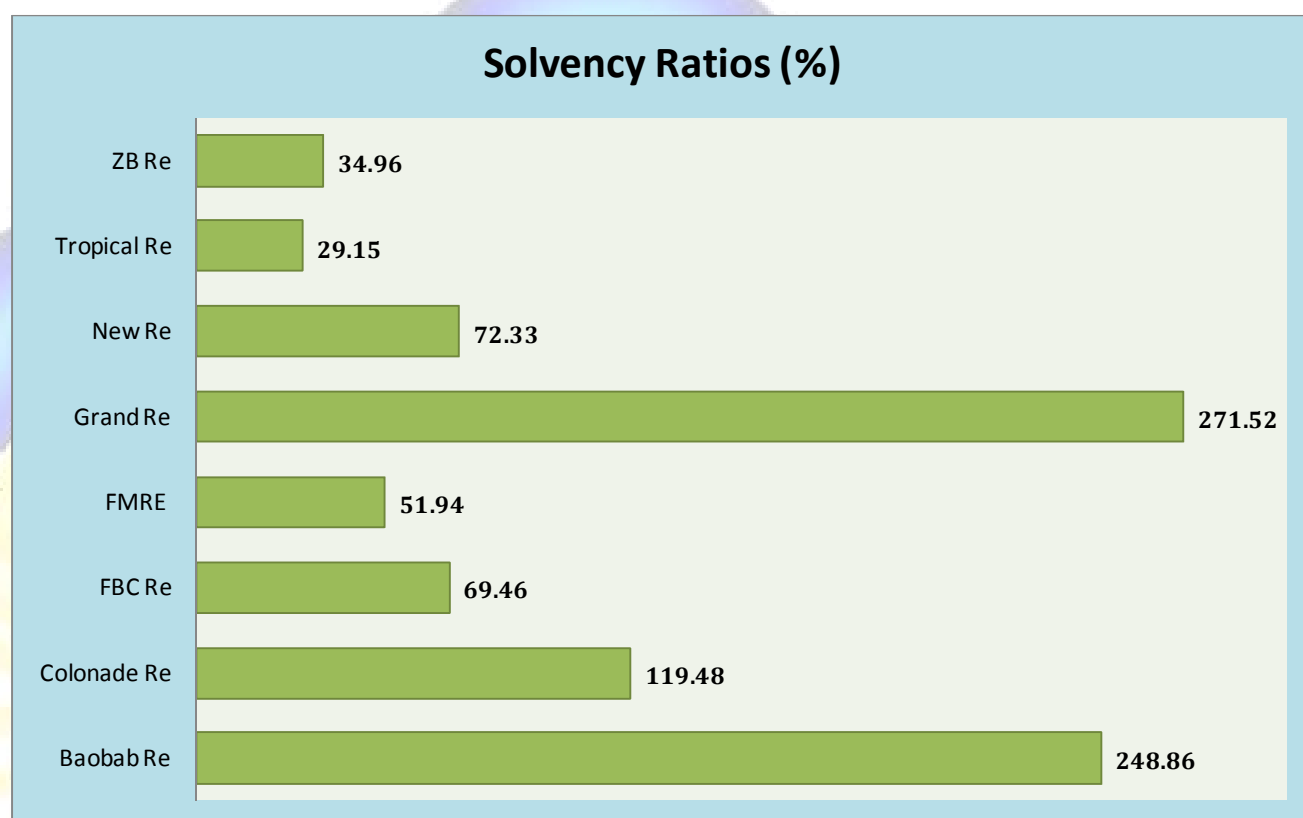
Figure 9: Shareholders Equity (\$ 000)



All the short term reinsurers reported solvency ratios which were compliant with the minimum regulatory requirement of 25%. The solvency ratios reported ranged from 29.15% to 271.52% as

shown in Figure 10 below. The average solvency ratio was 122.70% as at 31 December 2011, down from 165.02% reported as at 30 September 2011.

Figure 10: Solvency Ratios



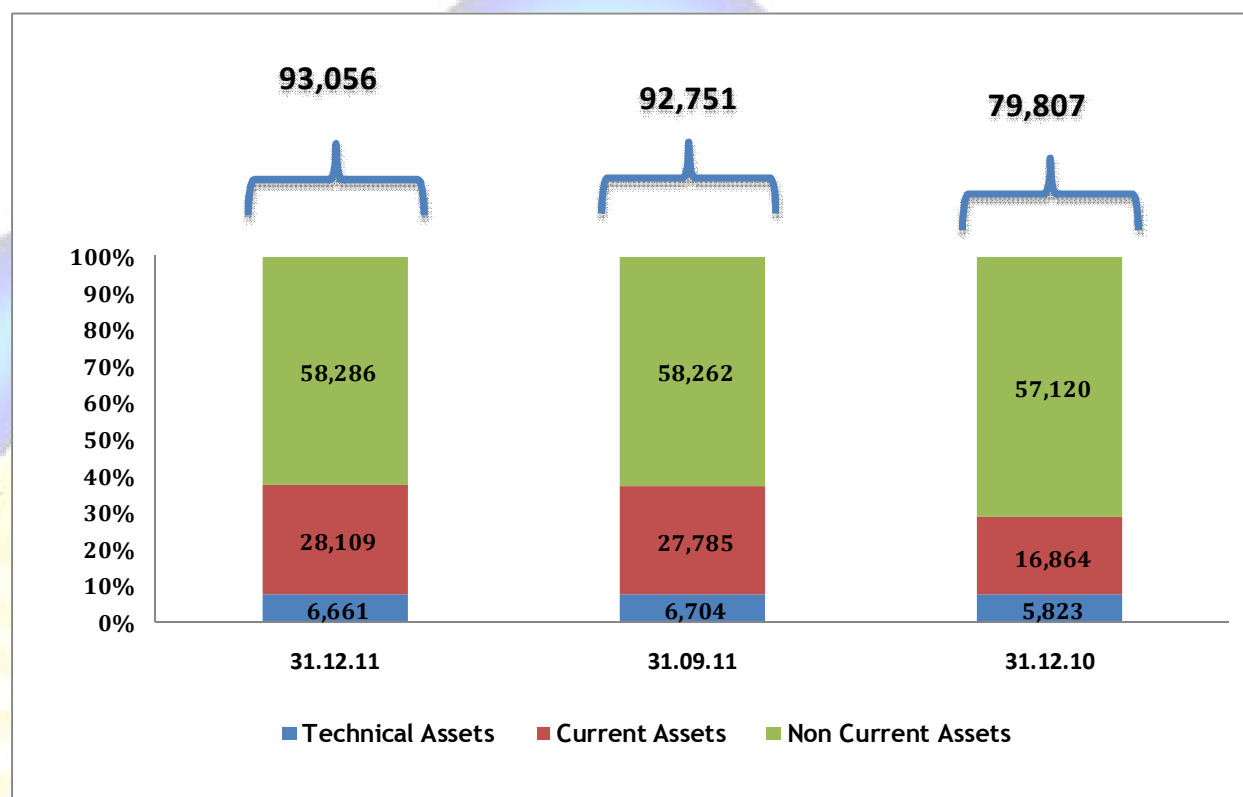
4.5. Asset Quality

Total assets for the short term reinsurers amounted to \$93.06 million as at 31 December 2011, reflecting a marginal increase of 0.33% from \$92.75 million reported as at 30 September 2011. The increase in total assets was largely driven by a change in the value of current assets from \$27.79 million as at 30 September 2011 to \$28.11 million as at 31 December 2011. The proportion of current assets attributable to debtors decreased from 74.12% as at 30 September 2011 to 72.12% as at 31 December 2011, reflecting a slight improvement in liquidity for the reinsurers.

The asset base of the reinsurers continued to be skewed towards non current assets which contributed 62.64% of the total asset base at 31 December 2011 and this is not in line with the nature of business of short term reinsurers and may lead to asset and liability mismatch.

Figure 11 below shows the breakdown of total assets for the reinsurers as at 30 September 2011 and 31 December 2011.

Figure 11: Assets of Reinsurers ('000)



4.6. Market Share for Reinsurers

The short term reinsurers' market was considered highly concentrated with Herfindahl indices of 0.19 and 0.27 in terms of net premium written and total assets respectively as at 31 December 2011. Baobab Reinsurance Company, FMRE Property and Casualty Reinsurance Company, and ZB Reinsurance Company remained the top three short term reinsurers with a combined market share of 63.89% in terms of gross premium written for the year under review. In terms of net premium written Baobab Reinsurance Company was the market leader with a market share of 28.32% followed by ZB Reinsurance Company and FMRE Property and Casualty Reinsurance Company with market shares of 18.03% and 17.63% respectively.

Figure 9 and 10 below shows the market shares of each reinsurer in terms of gross premium written, net premium written and total assets.

Figure 12: Market Share by GPW/NPW

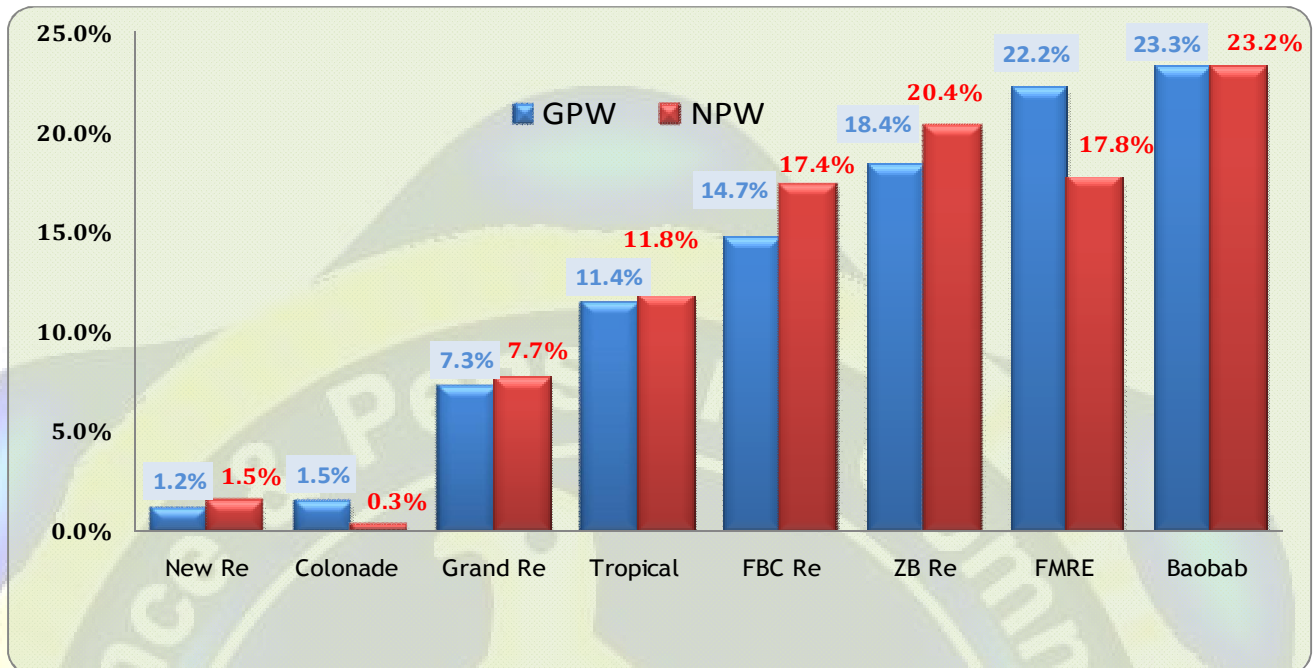
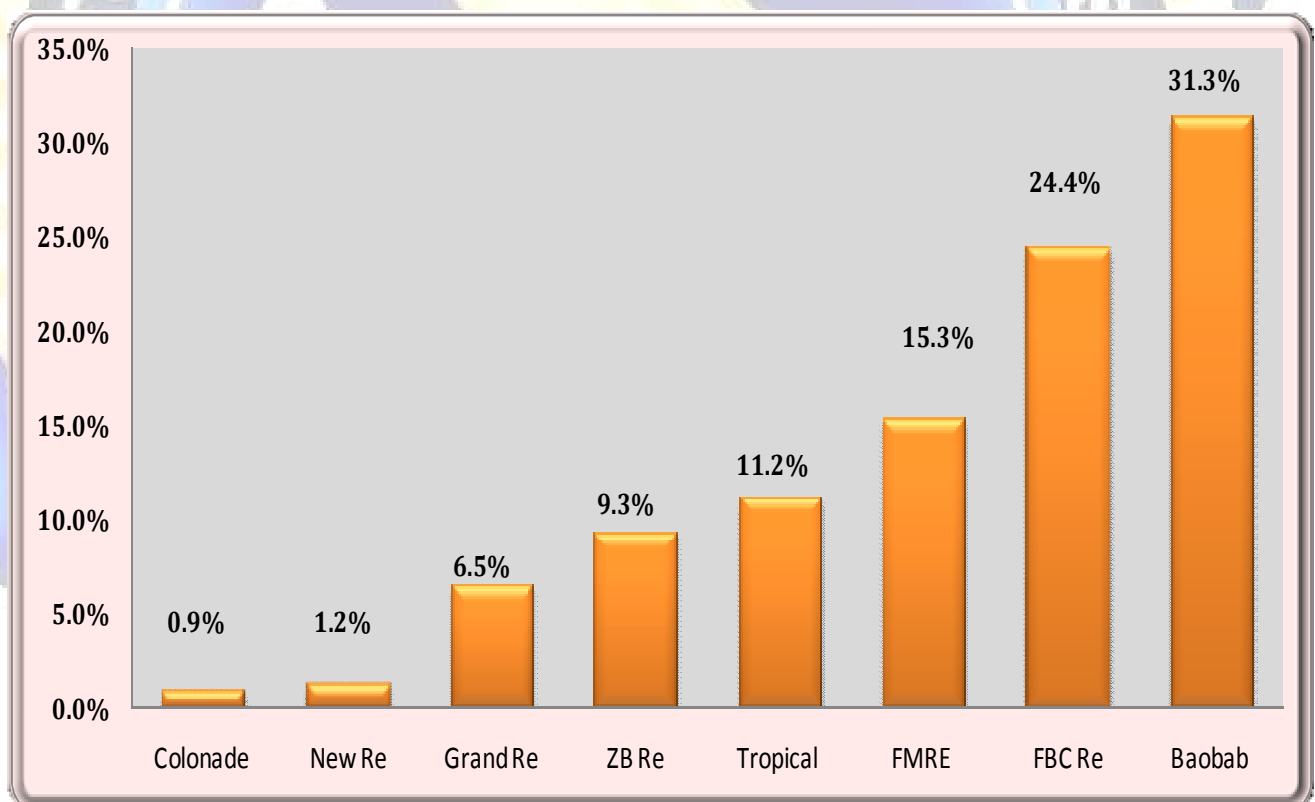


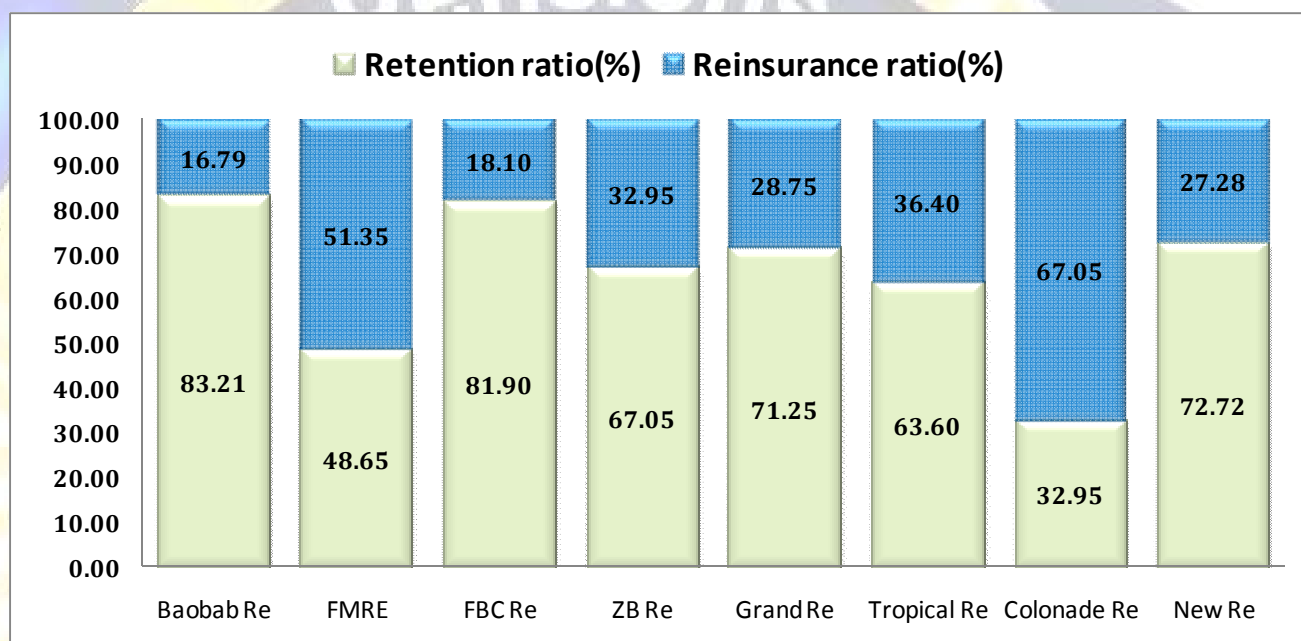
Figure 13: Market Share by Asset Distribution



4.7. Retrocession

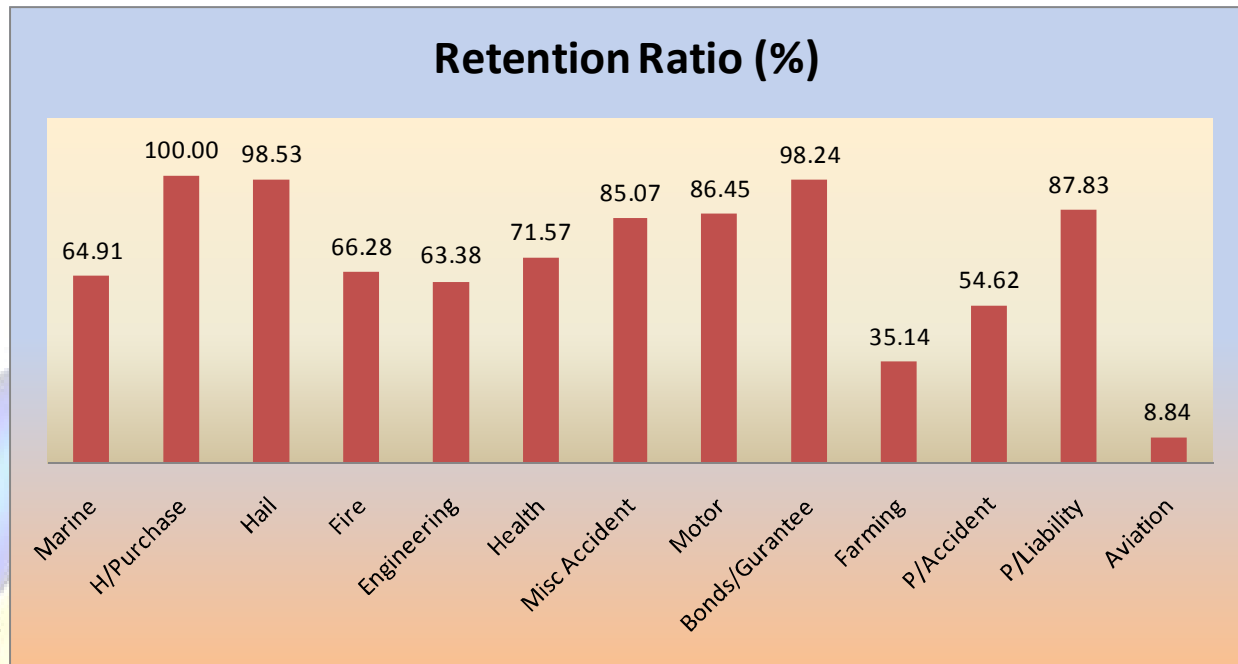
The reinsurers reported an average retention ratio of 68.37% for the year ended 31 December 2011, compared to 63.66% reported for the comparative period in 2010, reflecting an increase in the risk appetite. Baobab Re and FBC Re recorded the highest retention ratios of 83.21% and 81.90% respectively, in line with their strong balance sheets as shown by their market leadership in terms of total assets reflected in Figure 13 above.

Figure 14: Retention/Retrocession



The reinsurers did not cede any premium emanating from hire purchase and health business owing to the low volumes and low values insured in these business classes which were within the reinsurers' underwriting capacities. Aviation recorded the lowest retention ratio of 7.5% due to the high values of sum insured in the business class that are beyond the underwriting capacity of local reinsurers. Figure 15 below shows the retentions in each class of business.

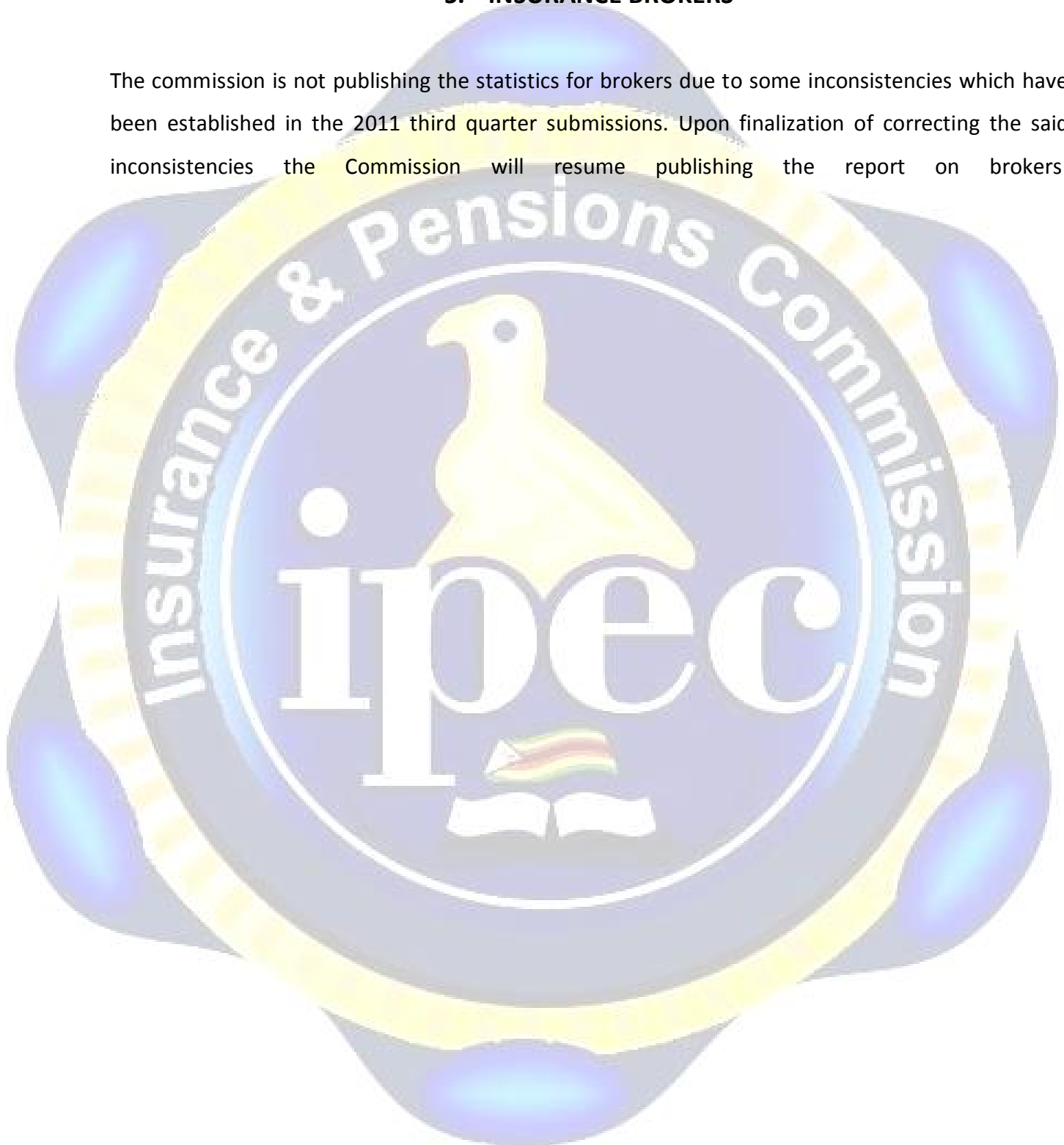
Figure 15: Retention by Class of Business



SECTION C

5. INSURANCE BROKERS

The commission is not publishing the statistics for brokers due to some inconsistencies which have been established in the 2011 third quarter submissions. Upon finalization of correcting the said inconsistencies the Commission will resume publishing the report on brokers.





SECTION D

6. APPENDICES

	APPENDIX A: ALL FIGURES IN US\$('000)																										
	Alliance	Allied	Altfin	C.B.Z	Cell	Champions	Clarion	Credsure	Eagle	Evolution	Excellence	Global	Hamilton	Heritage	Jupiter	KMFS	Nicoz	Quality	Regal	RM	Sanctuary	SFG	Suremed	Tetrad Hail	Tristar	Zimnat	TOTAL
GPW	19,974	1,656	11,074	5,904	15,303	3,213	2,013	4,304	8,216	2,623	659	4,201	244	7,386	1,239	1,459	21,245	1,643	1,353	16,422	40	3,391	156	4,007	8,309	12,933	158,969
Reinsurance	8,125	553	5,309	3,492	9,497	729	154	2,669	5,101	1,092	165	3,355	104	3,661	91	74	7,835	173	8	5,926	30	1,763	0	2,925	5,232	8,478	76,539
NWP	11,849	1,103	5,765	2,413	5,807	2,484	1,859	1,635	3,115	1,531	494	846	140	3,726	1,148	1,386	13,410	1,470	1,345	10,497	10	1,628	156	1,082	3,077	4,455	82,429
NEP	12,014	1,336	5,630	2,359	5,187	2,212	1,499	1,567	3,201	1,531	477	795	135	3,282	1,092	1,386	12,600	1,282	1,324	10,278	10	2,185	156	1,082	3,823	4,303	80,749
Net Incurred Claims	7,582	297	2,884	703	2,451	462	495	332	(1,211)	751	224	376	50	1,070	2,127	181	7,098	371	0	4,998	4	1,773	175	1,202	1,154	1,840	37,389
Net Commission Incurred	1,348	60	345	(113)	59	367	140	(356)	1,724	19	70	15	12	107	210	0	1,427	250	0	891	(4)	(109)	0	561	318	1	7,342
Technical Result	3,051	598	2,376	1,747	2,732	1,323	864	1,608	3,690	761	189	470	73	2,161	(1,245)	745	4,245	661	1,324	4,432	18	428	(18)	2,845	2,352	2,462	39,892
Operating Expenses	2,292	496	2,329	1,372	1,604	852	796	1,187	2,912	297	140	446	142	1,700	613	765	4,349	456	1,052	3,243	8	1,954	72	577	3,353	3,339	36,347
Underwriting Result	759	102	47	375	1,127	471	69	420	778	465	49	24	(69)	461	(1,858)	(20)	(104)	205	272	1,190	9	(1,526)	(91)	2,268	(1,001)	(877)	3,545
Investment																											
Investment Income	191	1	188	94	244	44	2	51	18	23	0	43	0	54	0	128	439	21	0	377	45	0	0	371	149	6	2,487
Unrealised Gains/Losses	0	0	(50)	3	(59)	0	0	(12)	0	46	0	(14)	(398)	(17)	0	0	(88)	(19)	0	(75)	0	223	0	0	1,045	0	584
Other Income	62	3	(8)	0	208	289	7	37	59	0	0	0	0	25	11	0	0	1	0	(11)	0	0	0	0	326	238	1,246
Profit Before Tax	1,012	106	177	444	1,520	803	77	497	855	533	49	54	(467)	523	(1,848)	108	349	208	272	1,481	54	(1,304)	(91)	2,639	519	(633)	7,937
Profit After Tax	751	106	113	331	1,130	775	57	360	855	446	49	38	(347)	508	(1,848)	75	648	207	199	1,232	54	(1,088)	(91)	2,532	562	(436)	7,219
Key Ratios																											
Market Share % on GPW	12.6%	1.0%	7.0%	3.7%	9.6%	2.0%	1.3%	2.7%	5.2%	1.7%	0.4%	2.6%	0.2%	4.6%	0.8%	0.9%	13.4%	1.0%	0.9%	10.3%	0.0%	2.1%	0.1%	2.5%	5.2%	8.1%	100.0%
Market Share % on NWP	14.4%	1.3%	7.0%	2.9%	7.0%	3.0%	2.3%	2.0%	3.8%	1.9%	0.6%	1.0%	0.2%	4.5%	1.4%	1.7%	16.3%	1.8%	1.6%	12.7%	0.0%	2.0%	0.2%	1.3%	3.7%	5.4%	100.0%
Retention Ratio	59.3%	66.6%	52.1%	40.9%	37.9%	77.3%	92.3%	38.0%	37.9%	58.4%	75.0%	20.1%	0.0%	50.4%	92.7%	95.0%	63.1%	89.5%	99.4%	63.9%	24.4%	48.0%	100.0%	27.0%	37.0%	34.4%	51.9%
NEP/ NWP	101.4%	121.2%	97.7%	97.8%	89.3%	89.1%	80.6%	95.9%	102.8%	100.0%	96.6%	93.9%	0.0%	88.1%	95.1%	100.0%	94.0%	87.2%	98.4%	97.9%	100.0%	134.2%	100.0%	100.0%	124.2%	96.6%	98.0%
Net Claims Incurred Ratio	63.1%	22.2%	51.2%	29.8%	47.3%	20.9%	33.0%	21.2%	-37.8%	49.0%	47.0%	47.3%	0.0%	32.6%	194.8%	13.0%	56.3%	28.9%	0.0%	48.6%	38.1%	81.1%	111.6%	111.1%	30.2%	42.8%	46.3%
Net Commission Ratio	11.2%	4.5%	6.1%	-4.8%	1.1%	16.6%	9.3%	-22.7%	53.9%	1.3%	14.6%	1.9%	0.0%	3.3%	19.3%	0.0%	11.3%	19.5%	0.0%	8.7%	-44.2%	-5.0%	0.0%	51.9%	8.3%	0.0%	9.1%
Net Expense Ratio	19.1%	37.1%	41.4%	58.2%	30.9%	38.5%	53.1%	75.8%	91.0%	19.4%	29.3%	56.1%	0.0%	51.8%	56.1%	55.2%	34.5%	35.6%	79.5%	31.5%	87.0%	89.4%	46.3%	53.4%	87.7%	77.6%	45.0%
Combined Ratio	93.4%	63.9%	98.7%	83.2%	79.3%	76.0%	95.4%	74.2%	107.0%	69.7%	91.0%	105.3%	0.0%	87.6%	270.2%	68.2%	102.2%	84.0%	79.5%	88.8%	80.8%	165.6%	157.9%	216.3%	126.2%	120.4%	100.4%
Underwriting Margin	6.6%	36.1%	1.3%	16.8%	20.7%	24.0%	4.6%	25.8%	-7.0%	30.3%	9.0%	-5.3%	100.0%	12.4%	-170.2%	31.8%	-2.2%	16.0%	20.5%	11.2%	19.2%	-65.6%	-57.9%	-116.3%	-26.2%	-20.4%	-0.4%

	Statement of Financial Position-Reinsurers US\$'000																											
	Alliance	Allied	Altfin	C.B.Z	Cell	Champions	Clarion	Credsure	Eagle	Evolution	Excellence	Global	Hamilton	Heritage	Jupiter	KMFS	Nicoz	Quality	Regal	RM	Sanctuary	SFG	Suremed	Tetrad	Hail	Tristar	Zimnat	TOTAL
ASSETS																												
Non-Current Assets																												
Fixed Assets	845	437	424	369	533	808	234	1,949	2,569	248	245	256	365	1,414	300	87	1,504	279	760	1,322	35	891	13	967	572	3,179	20,606	
Investments	2,512	133	1,844	393	261	208	402	333	226	72	310	352	1,223	786	0	749	6,802	697	0	4,598	845	260	309	1,448	4,005	1,174	29,942	
	3,357	570	2,268	762	794	1,016	636	2,281	2,795	320	555	608	1,588	2,200	300	837	8,306	976	760	5,920	880	1,151	322	2,415	4,577	4,353	50,548	
Technical Assets																												
Reinsurers' Share of O/S	288	0	617	936	0	0	0	0	1,921	182	27	0	0	0	0	0	0	13	0	242	4	1,100	0	0	0	0	5,331	
Unearned Commission Res	642	0	449	518	105	0	0	0	309	28	4	120	0	154	0	0	572	0	0	397	1	24	0	0	19	194	3,536	
	930	0	1,066	1,454	105	0	0	0	2,230	210	31	120	0	154	0	0	572	13	0	640	4	1,125	0	0	19	194	8,866	
Current Assets																												
Premium Receivables	6,681	656	3,568	1,259	316	898	868	2,417	969	241	48	173	111	1,506	608	667	5,837	156	438	445	10	2,184	212	319	691	709	31,987	
Other Debtors & Inventory	2,384	30	866	8	3,932	232	0	0	134	197	12	54	0	65	0	61	321	43	0	1,584	0	98	0	202	455	240	10,920	
Accrued Investment Income	0	0	0	0	0	0	0	0	0	0	0	0	0	344	0	95	238	0	0	62	38	0	0	0	0	0	777	
Cash & cash equivalents	530	58	296	946	2,115	271	48	124	126	417	31	15	3	195	1	9	313	45	4	449	0	41	2	84	66	843	7,032	
	9,595	744	4,730	2,213	6,363	1,401	916	2,541	1,229	856	91	242	114	2,110	609	831	6,709	244	442	2,541	48	2,323	214	605	1,213	1,793	50,715	
TOTAL ASSETS	13,882	1,314	8,064	4,429	7,262	2,417	1,552	4,822	6,254	1,386	676	971	1,702	4,464	909	1,668	15,587	1,233	1,202	9,100	933	4,599	535	3,020	5,809	6,340	110,129	
LIABILITIES																												
Deferred Tax Liabilities	0	0	124	0	0	0	17	417	(457)	17	49	13	0	0	0	0	(281)	10	28	0	0	(162)	0	107	113	(5)	(10)	
Long Term loan	0	13	0	92	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	51	136	308	0	0	1,000	1,600	
Current Tax provisions	260	74	11	0	390	9	38	318	(69)	58	121	5	14	0	0	0	(65)	21	92	165	0	233	0	0	342	(33)	1,984	
Gross Outstanding Claims	1,183	0	1,595	295	0	0	0	0	2,355	0	101	93	0	570	0	0	1,835	0	0	0	0	0	0	30	815	841	9,712	
IBNR	2,305	114	0	0	2,524	138	347	0	0	75	0	0	0	0	2,072	124	0	148	16	1,328	2	1,189	231	0	0	0	10,614	
UPR	3,208	0	1,836	1,826	0	0	459	0	722	323	29	230	5	1,236	0	460	2,860	0	0	0	0	0	0	0	734	1,117	15,044	
Unearned Premium	0	421	0	0	1,073	742	0	0	0	0	0	0	0	0	74	0	0	436	36	1,986	9	486	0	0	0	0	5,262	
Reinsurance & Other Creditors	4,022	213	2,613	841	983	443	0	1,748	482	144	29	146	6	1,541	0	0	2,005	11	49	0	32	1,793	117	385	1,498	935	20,035	
Other Creditors	0	46	363	439	0	106	209	0	1,013	28	13	67	24	129	78	0	1,191	17	121	1,493	0	386	0	817	702	92	7,332	
TOTAL LIABILITIES	10,978	881	6,542	3,493	4,969	1,437	1,071	2,483	4,046	645	342	552	49	3,475	2,224	584	7,545	643	342	4,971	94	4,060	656	1,339	4,205	3,946	71,574	
SHAREHOLDERS' EQUITY																												
Share Capital	301	68	300	50	620	382	300	2	0	120	300	33	500	500	305	400	2,797	120	320	300	100	393	300	1,000	2,000	553	12,062	
Share Premium	0	446	625	546	0	0	0	455	0	7	167	294	1,500	0	0	637	3,184	0	0	0	700	1,108	9	0	498	0	10,176	
Revaluation & Other Reserves	1,141	0	422	0	715	36	25	1,423	3,392	0	0	0	0	177	178	100	0	30	265	1,303	0	298	0	344	0	1,693	11,540	
Retained Profit	1,462	(80)	175	341	958	563	156	459	(1,183)	614	(133)	92	(347)	312	(1,798)	(54)	2,061	440	275	2,526	39	(1,260)	(430)	338	(894)	148	4,779	
Shareholders's Equity	2,903	433	1,522	936	2,292	980	481	2,339	2,209	741	334	418	1,653	989	(1,316)	1,084	8,042	590	860	4,129	839	539	(121)	1,682	1,604	2,394	38,557	
TOTAL EQUITY & LIABILITIES	13,882	1,314	8,064	4,429	7,262	2,417	1,552	4,822	6,254	1,386	676	971	1,702	4,464	909	1,668	15,587	1,233	1,202	9,100	933	4,599	535	3,021	5,809	6,340	110,131	
Key Ratios																												
Shareholders' Equity / Net Assets	24.5%	39.3%	26.4%	38.8%	39.5%	39.5%	25.9%	143.1%	70.9%	48.4%	67.6%	49.4%	0.0%	26.5%	-114.6%	78.2%	60.0%	40.1%	63.9%	39.3%	8685.6%	33.1%	-77.3%	155.5%	52.1%	53.7%	46.8%	
% of Debtors / Total Assets	48.1%	49.9%	44.2%	28.4%	4.4%	37.1%	55.9%	50.1%	15.5%	17.4%	7.1%	17.9%	6.5%	33.7%	66.9%	40.0%	37.4%	12.7%	36.4%	4.9%	1.0%	47.5%	39.5%	10.6%	11.9%	11.2%	29.0%	
% of Investments / Total Assets	18.1%	10.1%	22.9%	8.9%	3.6%	8.6%	25.9%	6.9%	3.6%	5.2%	45.8%	36.3%	71.9%	17.6%	0.0%	44.9%	43.6%	56.5%	0.0%	50.5%	90.6%	5.6%	57.7%	47.9%	69.0%	18.5%	27.2%	

Appendix B: Statement of Income-Reinsurers U\$ '000

	Baobab	Colonade	FBC Re	FMRE	Grand Re	New Re	Tropical	ZB Re	Total
Gross Written Premiums	15,801	1,022	9,992	15,097	4,933	810	7,758	12,479	67,891
Reinsurance Premiums	2,654	685	1,809	7,752	1,418	221	2,824	4,111	21,474
Net Written Premiums	13,147	337	8,183	7,345	3,515	589	4,935	8,367	46,418
Net Earned Premiums	12,406	286	7,631	7,458	2,922	431	4,542	7,709	43,385
Net Incurred Claims	3,509	31	1,716	2,772	811	45	1,886	3,044	13,814
Net Commission Incurred	3,582	45	1,609	1,272	826	131	1,175	2,019	10,659
Technical Result	5,593	210	4,231	3,357	1,438	255	1,560	2,646	19,289
Operating Expenses	5,097	341	1,424	2,323	896	281	732	1,918	13,011
Underwriting Result	496	(131)	2,806	1,034	542	(26)	828	728	6,278
Investment									
Investment Income	231	0	421	199	(29)	0	155	(16)	961
Unrealised Gains/Losses	13	0	(74)	941	0	1	0	0	881
Other Income	0	14	20	146	0	0	0	0	180
Profit Before Tax	740	(117)	3,161	2,320	513	(25)	984	712	8,288
Profit After Tax	550	(117)	2,959	2,301	386	(25)	770	557	7,381
Key Ratios									
Market Share based on GW	23.3%	1.5%	14.7%	22.2%	7.3%	1.2%	11.4%	18.4%	100.0%
Market Share based on NW	28.3%	0.7%	17.6%	15.8%	7.6%	1.3%	10.6%	18.0%	100.0%
Retention Ratio	83.2%	32.9%	81.9%	48.7%	71.3%	72.7%	63.6%	67.1%	68.4%
NEP/ NPW	94.4%	85.0%	93.2%	101.5%	83.1%	73.2%	92.1%	92.1%	93.5%
Net Claims/NEP	28.3%	10.7%	22.5%	37.2%	27.7%	10.4%	41.5%	39.5%	31.8%
Net Commission Ratio	28.9%	15.8%	21.1%	17.1%	28.3%	30.4%	25.9%	26.2%	24.6%
Net Expense Ratio	41.1%	119.2%	18.7%	31.1%	30.7%	65.2%	16.1%	24.9%	30.0%
Combined Ratio	98.2%	145.7%	62.2%	85.4%	86.7%	106.0%	83.5%	90.6%	86.4%
Underwriting Margin	1.8%	-45.7%	37.8%	14.6%	13.3%	-6.0%	16.5%	9.4%	13.6%

Statement of Financial Position-Reinsurers US\$'000

	Baobab	Colonade	FBC Re	FMRE	Grand Re	New Re	Tropical	ZB Re	Total
ASSETS									
Non-Current Assets									
Fixed Assets	1,302	84	356	147	602	181	196	734	3,602
Investments	31,984	269	3,093	7,299	8,617	387	1,780	1,255	54,684
	33,287	353	3,449	7,445	9,220	568	1,975	1,989	58,286
Technical Assets									
Reinsurers' Share of Outst	0	0	3,991	0	267	0	0	0	4,258
Provision for Unearned Co	1,144	0	397	342	520	0	0	0	2,403
	1,144	0	4,389	342	786	0	0	0	6,661
Current Assets									
Premium Receivables	6,121	536	2,199	1,411	1,540	160	2,903	2,869	17,738
Other Debtors & Inventory	1,521	0	411	89	0	88	50	137	2,296
Accrued Investment incom	0	0	0	0	0	0	240	0	240
Cash & cash equivalents	698	17	4,396	118	508	42	499	1,559	7,835
	8,340	553	7,005	1,618	2,047	290	3,692	4,565	28,109
TOTAL ASSETS	42,770	906	14,843	9,405	12,054	858	5,667	6,553	93,056
LIABILITIES									
Deferred Tax Liabilities	486	0	(817)	353	53	0	52	454	582
Current Tax provisions	191	16	202	0	15	17	79	(77)	442
Long term loan	0	0	0	0	300	0	0	0	300
IBNR	2,331	0	0	959	517	0	433	947	5,187
Gross Outstanding Claims	0	14	5,229	0	0	56	0	215	5,514
UPR	0	42	1,613	1,380	0	236	0	1,236	4,507
Unearned Premiums	3,050	422	0	0	1,265	0	1,200	0	5,936
Reinsurance & Other Cred	2,170	0	2,932	2,898	270	123	2,401	854	11,647
Other Creditors	1,825	10	0	0	102	0	64	0	2,000
TOTAL LIABILITIES	10,052	503	9,159	5,590	2,522	432	4,229	3,629	36,116
SHAREHOLDERS' EQUITY									
Share Capital	400	5	0	1	400	400	227	5	1,438
Share Premium	23,972	548	2,203	3,004	0	0	0	495	30,222
Revaluation & Other Rese	7,641	0	3,804	254	5,246	95	0	11	17,051
Retained Profit	704	(150)	(323)	557	3,898	(69)	1,212	2,414	8,242
Shareholders's Equity	32,718	402	5,684	3,815	9,543	426	1,439	2,925	56,952
TOTAL EQUITY & LIABILI	42,770	906	14,843	9,405	12,066	858	5,668	6,553	93,068
Key Ratios									
Shareholders' Equity / N	248.9%	119.5%	69.5%	51.9%	271.5%	72.3%	29.2%	35.0%	122.7%
% of Debtors / Total Asse	14.3%	59.2%	14.8%	15.0%	12.8%	18.6%	51.2%	43.8%	19.1%
% of Investments / Total	74.8%	29.7%	20.8%	77.6%	71.5%	45.1%	31.4%	19.2%	58.8%